NCERT Summary: Topic 14: The Indian Economy — 1947 to 1990 — Raw Notes

Source Integration

- NCERT Class 11 Indian Economic Development, Chapter 1: Indian Economy on the Eve of Independence
- NCERT Class 11 Indian Economic Development, Chapter 2: Indian Economy 1950–1990

Core Factual & Conceptual Architecture

1. The Colonial Economic Legacy (Eve of Independence, 1947)

- Fundamental Colonial Motive: Britain structured India's economy as a subordinate colonial appendage to supply primary agricultural raw materials for British manufacturing mills and serve as a captive consumer market for British finished industrial goods.
- Macroeconomic Growth Profile: Aggregate real national output expanded at less than 2 percent per annum during the first half of the twentieth century, while per capita output grew at roughly 0.5 percent per year.
- Agricultural Stagnation & Institutional Land Systems:
  - Zamindari Tenurial System: Implemented across the Bengal Presidency and eastern provinces. Zamindars acted as rent-extracting intermediaries with legal obligations to remit fixed sums to the colonial state, bearing zero incentive to invest in agrarian technology or soil improvement.
  - Technological Backwardness: Negligible chemical fertilizer utilization, negligible public irrigation investments, and extreme vulnerability to monsoonal rainfall.
  - Forced Commercialization: Coerced substitution of subsistence food crops with commercial export cash crops (such as indigo, raw cotton, and jute) without improving farmer purchasing power or food security.
- Deliberate De-industrialisation & Structural Disarticulation:
  - Handicraft Destruction: Systematic dismantling of renowned indigenous handicraft enterprises (cotton and silk textiles, fine metalcrafts) through non-reciprocal tariff duties, creating widespread unemployment without parallel modern factory development.
  - Nascent Industrial Development: Limited emergence of modern factories starting in the late nineteenth century; cotton mills developed in Maharashtra and Gujarat by domestic entrepreneurs, while jute mills developed in Bengal under British ownership.
  - Tata Iron and Steel Company (TISCO): Formally incorporated in 1907 at Jamshedpur, marking the first major domestic heavy industrial venture.
  - Absence of Capital Goods Industries: Critical absence of domestic engineering capacity to manufacture heavy productive machinery, cementing external technological dependency.
  - Limited Public Sector Role: Colonial state infrastructure was confined strictly to railways, electrical power grids, postal communications, and port facilities designed to move troops and raw goods.
- External Trade Monopoly & The Export Drain:
  - Monopoly Domination: Britain controlled more than half of India's international foreign trade through restrictive maritime and tariff rules.
  - Persistent Merchandise Export Surplus: Generated through agricultural exports, yet the surplus was entirely drained to settle British home administrative expenses, defense campaigns, and merchant profits rather than domestic capital formation.
- Demographic & Social Indicators:

   - Overall literacy below 16 percent, with female literacy around 7 percent.
   - Infant Mortality Rate stood at approximately 218 per 1,000 live births.
   - Life expectancy at birth was roughly 32 years.
   - Public health services were largely absent, leaving communities vulnerable to water-borne and air-borne epidemics.
- Occupational Immobility & Strategic Infrastructure:
   - Workforce Distribution: Agriculture employed 70 to 75 percent of the working population, manufacturing engaged around 10 percent, and services engaged 15 to 20 percent.
   - Infrastructure Strategy: Construction of the railway network (introduced in 1850) and trunk feeder roads served colonial administrative control and military troop movement to ports, neglecting all-weather rural agricultural roads.

2. The Planned Economic Architecture (1950–1990)

- The Mixed Economy Consensus: Rejection of pure market capitalism (which allocates commodities based on purchasing power rather than human welfare) and pure Soviet-style state socialism (which abolishes private property). India established a mixed economy where the state controlled the commanding heights alongside private ownership under central democratic guidance.
- Institutional Planning Framework:
   - The Planning Commission was instituted in 1950, with the Prime Minister serving as Chairperson.
   - Adopted Five Year Plans, which detailed specific production targets within a twenty-year perspective planning framework.
- The Four Core Objectives of Planning:
   - Growth: Steady sustained increase in aggregate real Gross Domestic Product and domestic productive capacity.
   - Modernisation: Technological innovation in agriculture and industry alongside structural social reform, such as guaranteeing equal workplace rights for women.
   - Self-Reliance: Avoiding imports of goods that could be fabricated domestically, protecting economic sovereignty and insulating food security from foreign geopolitical interference.
   - Equity: Ensuring that gains from economic development reach impoverished households, reducing regional disparities and income inequality.

3. Agrarian Transformation: Reforms & The Green Revolution

- Institutional Land Reforms:
   - Abolition of Intermediaries: Dismantled the zamindari rent-collecting layer, bringing approximately 200 lakh tenant tillers into direct property relationships with the state, creating incentives for capital land investment.
   - Land Ceilings: Imposed statutory maximum caps on the quantum of agricultural land individual families could own to curb feudal concentration, though implementation varied across states due to legal loopholes and tenant evictions.
- The Green Revolution:
   - Core Technology: Introduced High Yielding Variety (HYV) dwarf seed strains in the mid-1960s, requiring coordinated inputs of assured irrigation, synthetic fertilizers, and chemical pesticides.
   - Phases of Adoption: Phase One (mid-1960s to mid-1970s) was restricted largely to wheat-growing belts in Punjab, Haryana, and western Uttar Pradesh. Phase Two (mid-1970s to mid-1980s) expanded to broader crops and regions.
   - Self-Sufficiency & Marketed Surplus: Enabled national foodgrain self-sufficiency, ending dependence on American PL-480 food shipments. Marketed surplus (the proportion of crop output sold in commercial markets above household subsistence needs) expanded, stabilizing consumer food prices.

    - Small Farmer Protection: State provision of input subsidies, concessional farm loans, and research extension prevented the Green Revolution from widening rural inequality.
    - The Agricultural Subsidy Debate: Supporters view subsidies as vital protections for risk-exposed smallholders; critics argue that subsidies generate large fiscal burdens, leak toward input manufacturers and affluent farmers, and distort price signals, encouraging excessive groundwater extraction and chemical soil depletion.
    - Structural Stagnation: The proportion of the workforce dependent on farming barely declined, moving from 67.5 percent in 1950 to 64.9 percent in 1990, highlighting a structural delay in shifting surplus rural labor to manufacturing.

4. Industrialization Strategy: The Commanding Heights & State Controls

- Industrial Policy Resolution, 1956 (IPR 1956): Established state control over key industries, classifying the industrial landscape into three distinct schedules:
    - Schedule A: Industries reserved exclusively for state ownership and management.
    - Schedule B: Mixed ownership where the state would take the lead in developing new capacity, supplemented by private enterprise.
    - Schedule C: Residual light industries left open to the private sector.
- The Industrial Licensing Regime:
    - Every private enterprise required an administrative license to establish a factory, expand installed output capacity, or diversify into alternative product lines.
    - Concessional licenses, subsidized electricity, and local tax rebates were used to steer manufacturing investments toward backward provinces to promote regional balance.
- Protection of Small-Scale Industries (SSI):
    - Karve Committee (1955): Advocated using small-scale, labor-intensive industrial units to absorb rural labor.
    - State Protections: Statutory product reservation, concessional bank loans, and lower excise duty structures shielded small producers from large industrial conglomerates.

5. Inward-Looking Trade Policy: Import Substitution

- Import Substitution Strategy: Replaced foreign imports with domestic production during the first seven Five Year Plans.
- Protective Trade Barriers:
    - Protective Tariffs: Heavy customs duties levied on foreign imported commodities to raise their retail price above domestic goods.
    - Quantitative Import Quotas: Strict volume caps restricting the maximum amount of specific goods permitted to enter the country.
- Economic Rationale: Shielded domestic infant industries from mature global competitors, preventing the loss of scarce foreign exchange reserves to non-essential consumer luxury goods.
- Structural Industrial Progress: The industrial share of national GDP rose from roughly 13 percent in 1950-51 to 24.6 percent in 1990-91, supporting an annual industrial growth rate of approximately 6 percent and diversifying output into heavy capital engineering, chemicals, and consumer goods.

✍ Notes & Updates